

Annexure A: Formal commitments offer

This is a summary of the formal offer to give an undertaking pursuant to s 87B of the CCA provided to the ACCC on 1 July 2026 (the **Undertaking**) as documented in the draft long form undertaking provided to the ACCC on 28 July 2026.

- 1 The Undertaking would:
 - (a) be provided by IAG;
 - (b) operate for a term of **five years** from the date the Proposed Transaction is completed; and
 - (c) provide for audits by an independent auditor of compliance with the terms of the Undertaking and require the auditor to provide a copy of their report to the ACCC.

1.1 Distribution Agreement terms

- 2 The Undertaking would provide for the following during its term:
 - (a) IAG agrees to implement the competitiveness and benchmarking provisions under the Distribution Agreement.
 - (b) IAG cannot amend the terms of the competitiveness and benchmarking provisions and certain termination right provisions of the Distribution Agreement unless in accordance with the Distribution Agreement and approved by the ACCC.
 - (c) The changes must be considered by the independent auditor who will prepare a report of their recommendation to the ACCC for its consideration.

Competitiveness and benchmarking provisions

- 3 The competitiveness and benchmarking provisions of the Distribution Agreement will contain the following key features:
 - (a) a detailed competitiveness framework which will require that the insurance products marketed under the RAC brands are competitive when compared against competitor products in Western Australia, including a specific obligation on IAG to use reasonable endeavours to maintain that competitiveness;
 - (b) a requirement for IAG to ensure that the insurance products marketed under the RAC brands are provided on terms, features and benefits which are not less favourable to members on an overall basis as compared to the terms, features and benefits of any comparable product it issues in Western Australia;
 - (c) a detailed product pricing and design principles framework which sets out the principles by which IAG will design and price the insurance products marketed under the RAC brands;
 - (d) a detailed competitive benchmarking process, whereby benchmarking is to occur annually;
 - (e) an obligation for IAG to consult with RACWA in good faith in advance of any material pricing changes at a portfolio level for any insurance product marketed under the RAC brands, and provide sufficient details to enable RACWA to understand the impact on RAC member value and any likely potential adverse reputational impact for RACWA or adverse impact on RACWA's ability to meet its sales targets under the Distribution Agreement; and

- (f) a right for RACWA to appoint an alternative insurer to distribute a comparable product where:
 - (i) an insurance product marketed under an RAC brand is found to be non-competitive in two or more consecutive reviews and IAG fails to comply in any material respect with the obligation to prepare and implement a remediation plan; or
 - (ii) a third-party adjudicator determines that IAG is in breach of the obligation in 3(b) above, IAG fails to remedy the breach within three months of the determination, and IAG and RACWA are unable to resolve the matter through the dispute resolution process under the Distribution Agreement.

Termination right provisions

4 The Undertaking would include, but not be limited to certain termination rights exercisable where:

- (a) IAG and RACWA are unable to resolve a dispute in relation to the competitiveness benchmarking provision and IAG fails to comply in any material respect with its obligation to prepare and implement a remediation plan (exercisable eight years after the Commencement Date);
- (b) a third-party adjudicator determines that IAG is in breach of the obligation in 3(b) above and IAG fails to remedy the breach within three months after such determination (exercisable eight years after the Commencement Date);
- (c) promotion, distribution or issuance of the insurance products marketed under the RAC brands results in or is likely to result in a material and enduring adverse reputational impact for either party, or in the case of termination by RACWA, to the RAC brands, which cannot be avoided or remedied by agreement between IAG and RACWA (exercisable from eight years after the Commencement Date). A similar termination right applies from commencement date as well but is subject to a monetary loss threshold; and
- (d) there is a material and intentional breach of the Distribution Agreement or Brand Licence Agreement that:
 - (i) has directly caused, or is highly likely to directly cause, significant damage to:
 - (A) in the case of termination by IAG, the business of IAG, or
 - (B) in case of termination by RACWA, the business of RACWA or RAC brand;
 - (ii) results in, or is likely to result in loss to the other party of a certain monetary loss threshold; and
 - (iii) either cannot be remedied or, to the extent it can be remedied, is not remedied within the timeframe agreed by IAG and RACWA for rectification of the breach (exercisable from the Commencement Date),

provided that IAG and RACWA have exhausted certain processes set out in the Distribution Agreement, including dispute resolution processes.

1.2 Commitments in relation to the acquisition of smash repair services

Smash repair service terms commitment

5 During the term of the Undertaking, IAG would not:

- (a) offer, require or request smash repair service providers in Western Australia who are, or propose to be, engaged by IAG comply with terms (whether in writing or not); or

- (b) seek to rely on or enforce terms included in existing contracts between IAG or RACI and smash repair service providers in Western Australia,

which:

- (c) require the smash repair service provider to work exclusively with IAG;
- (a) require the smash repair service provider to not accept work from other personal lines general insurers or penalise or disadvantage the smash repair provider for providing services to other insurers;
- (b) unreasonably restrict or limit the smash repair service provider's ability to provide services to other insurers, including where doing so would have an adverse impact on providing services to IAG; or
- (c) are materially less favourable to the smash repair service provider than terms under which services are currently provided by the smash repair service provider to IAG or RACI in relation to prioritisation of work from IAG over work from other personal lines general insurers.

Repair service facilities commitment

- 6 IAG would commit to not own or control repair service facilities in Western Australia during the term of the Undertaking. This would be subject to some limited carve outs to allow IAG to acquire repair service facilities where, for example, the closure of those facilities would result in an area no longer having a local repair service facility.

Supporting commitments

- 7 The above commitments in relation to the acquisition of smash repair services would be supported by the following obligations:
 - (a) IAG will give notice of the Undertaking to all smash repair service providers with which it engages in Western Australia during the term of the Undertaking;
 - (b) IAG will maintain a repair services register recording details of terms IAG offers to and agrees with smash repair service providers in Western Australia. The register will be provided to the ACCC or the independent auditor within 5 business days of written request from either and will be within scope of the audit process referred to in paragraph 1(c) and section 1.3 below;
 - (c) IAG will establish, maintain and follow a repair service complaints handling process enabling smash repair service providers in Western Australia to make a complaint where IAG has acted in a manner which is not compliant with paragraph 5 above. In particular, the repair service complaints handling process would provide the following:
 - (i) a process for investigating and resolving repair service complaints, including steps IAG will take to investigate and resolve each complaint;
 - (ii) response times within which IAG will endeavour to respond to and resolve repair service complaints;
 - (iii) a process for recording repair service complaints, including through the use of a complaints database;
 - (iv) review of the repair service complaints handling process on at least an annual basis with the results to be considered by IAG's senior management; and
 - (v) a copy of all complaints must be provided to an independent auditor within 5 business days of receipt of the complaint.

- (d) IAG will comply with the Motor Vehicle Insurance and Repair Industry Code of Conduct, as amended from time to time, when engaging with smash repair service providers in Western Australia.

8 The commitments outlined in paragraphs 5-7 above would apply to IAG's dealings with all smash repair service providers in Western Australia in relation to personal lines motor insurance claims in IAG's direct division (ie, Retail Insurance Australia), including repair service providers which have current agreements with RACI and/or IAG and repair service providers with which IAG may work on an ad hoc basis in all areas in Western Australia.

1.3 Audit, compliance and ACCC review

9 The Undertaking includes audit provisions requiring:

- (a) an initial audit to be conducted within six months of the date the Proposed Transaction is completed, followed by annual audits every twelve months from the date of the initial audit until the expiry, withdrawal or revocation of the Undertaking, each to be conducted by an independent auditor of IAG's compliance with the terms of the Undertaking;
- (b) the auditor to provide a copy of their report to the ACCC following each audit;
- (c) the auditor to provide a final report to the ACCC within three months following the expiry, withdrawal or revocation of the Undertaking; and
- (d) IAG must implement any recommendations made by the auditor in its reports and notify the ACCC of the implementation of the recommendations.

10 The Undertaking includes a provision requiring IAG to appoint and maintain a compliance officer to assist with compliance with the terms of the Undertaking. The compliance officer must notify the ACCC and the independent auditor (referred to in paragraph 9 above) of any breaches of the Undertaking of which they become aware and, on request, provide a written report on IAG's compliance with the Undertaking to the ACCC or the independent auditor.

11 The Undertaking includes an ACCC review provision, whereby if IAG is unable to comply with its obligations under the Undertaking or if IAG or the ACCC considers that a variation is necessary due to changed circumstances, IAG and the ACCC agree to review the Undertaking and negotiate any variation or withdrawal of its terms in good faith, having regard to the need to prevent any substantial lessening of competition in any relevant market.

Undertaking to the Australian Competition and Consumer Commission

Given under section 87B of the *Competition and Consumer Act 2010* (Cth) by Insurance Australia Group Limited (ACN 090 739 923)

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1. Person giving the Undertaking

- 1.1. This Undertaking is given to the Australian Competition and Consumer Commission (**ACCC**) by Insurance Australia Group Limited (ACN 090 739 923) on behalf of itself and its subsidiaries (together referred to as **IAG**).

2. Background

The parties to the Proposed Transaction

- 2.1. **IAG** (ACN 090 739 923): IAG is an ASX listed general insurance company operating in Australia and New Zealand. IAG provides a range of personal and commercial insurance products in Australia directly under its owned brands, including NRMA Insurance and ROLLiN', as well as products distributed by RACV (where the insurance product is manufactured by Insurance Manufacturers of Australia Pty Limited which is 70% owned by IAG and 30% owned by RACV) and RACQ. IAG also provides intermediated insurance through brokers, authorised financial representatives, institutions and agents under the CGU and WFI brands. IAG also underwrites insurance products distributed by financial institutions, including Bendigo Bank, People First Bank, Australian Military Bank and ANZ Bank.
- 2.2. **RAC** (ABN 33 212 133 120): The Royal Automobile Club of WA Limited (**RAC**) is a West Australian company limited by guarantee that provides roadside assistance, general insurance products and other ancillary services to its members. RAC offers personal lines general insurance which is underwritten by its subsidiary RAC Insurance Pty Limited (**RACI**).
- 2.3. **RACI** (ACN 094 685 882): RACI underwrites motor insurance and home and contents insurance for RAC and will be acquired by IAG as part of the Proposed Transaction.

The Proposed Transaction

- 2.4. On 15 May 2025 IAG, RACI Pty Ltd (ACN 008 671 805) and RACWA Holdings Pty Ltd (**RACWAH**) (ACN 008 985 877) entered into a Share Sale Deed pursuant to which IAG will acquire 100% of the issued share capital in RACI from RACI Pty Ltd, a wholly owned subsidiary of RAC (**Share Sale Deed**) and RACWAH and RACI will enter into a strategic distribution alliance pursuant to the Distribution Agreement (the **Proposed Transaction**).
- 2.5. The Proposed Transaction will result in IAG underwriting personal lines motor insurance and home and contents insurance under the RAC brand. Products currently distributed by RAC under other underwriting arrangements (ie, travel insurance, health insurance and life insurance) are excluded from the Proposed Transaction, with the option for IAG to make an offer to supply these insurance products following expiry of the existing arrangements.
- 2.6. The Proposed Transaction does not involve the acquisition by IAG of RAC's roadside assistance business or its other operations including RAC's auto servicing and repair services, finance, retirement living, home security, batteries, tyres, travel and tourism operations. These businesses would continue to be independently operated by RAC and are not affected by the Proposed Transaction.

The Notification

- 2.7. On 3 March 2026, IAG lodged a notification with the ACCC in respect of the Proposed Transaction under section 51ABW of the *Competition and Consumer Act 2010* (Cth) (**CCA**), (the **Notification**).
- 2.8. On 16 April 2026, the ACCC decided under section 51ABZJ(1) of the CCA that the Proposed Transaction is subject to Phase 2 review. The ACCC updated the acquisitions register on 17 April 2026.
- 2.9. On 25 May 2026, the ACCC provided IAG with a Notice of Competition Concerns (**NOCC**) under section 51ABZL of the CCA, setting out the ACCC's preliminary assessment of whether the Proposed Transaction, if put into effect, would have the effect, or be likely to have the effect, of substantially lessening competition in any market.
- 2.10. The objective of this Undertaking is to address the concerns about the Proposed Transaction which may be set out in the ACCC's determination and statement of reasons in respect of the Notification.

3. Commencement and Term of this Undertaking

- 3.1. This Undertaking comes into effect when:
- (a) this Undertaking is executed by IAG; and
 - (b) this Undertaking so executed is accepted by the ACCC,
- (the **Commencement Date**).
- 3.2. The Undertaking will commence on the Commencement Date and will operate for a term of five years from the Control Date (**Term**).

4. Cessation of Ongoing Obligations

Withdrawal

- 4.1. IAG may request withdrawal of this Undertaking pursuant to section 87B of the CCA at any time. This Undertaking is taken to be withdrawn on the date the ACCC consents in writing to that withdrawal.

Revocation

- 4.2. The ACCC may, at any time, revoke its acceptance of this Undertaking if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading. Such a revocation must be express and in writing.

Waiver

- 4.3. The ACCC may, at any time, waive any of the obligations contained in this Undertaking. Such a waiver must be express and in writing.

Extension of time to comply with obligations

- 4.4. The ACCC may, at any time, extend the date by which any of the obligations in this Undertaking are to be satisfied. Such an extension must be express and in writing. This does not permit extension to the Term of the Undertaking.

Survival

- 4.5. Unless and until this Undertaking is withdrawn in accordance with section 87B of the CCA, clause 4.1, clauses 1.1 – 4.5 and 10.1 – 18.2 survive completion of the obligations in clauses 5.1 to 9.20 (inclusive).

5. Distribution Agreement Commitments

Purpose

- 5.1. The purpose of this section 5 is to preserve specified provisions of the Distribution Agreement for at least the Term of the Undertaking. This section does so by:
- (a) restricting amendments to specified provisions relating to price competitiveness, competitiveness benchmarking and review (including the circumstances in which RACWAH may appoint an alternative insurer) and termination rights; and
 - (b) requiring ACCC approval before any such amendments may be made.

Distribution Agreement terms

- 5.2. For the Term of the Undertaking, IAG must not amend the following clauses of the Distribution Agreement except in the circumstances set out in clause 5.3 below (the **Restricted DA Terms**):
- (a) clause 8.4 (Most favoured nation principle);
 - (b) clause 8.5 (Price competitiveness);
 - (c) clause 8.6 (Competitiveness benchmarking and review);
 - (d) clause 32.1 (Termination rights exercisable from the Commencement Date);
 - (e) clause 32.2(a), (b), (c), (d), (e), (f), (h) (Termination rights exercisable from 8 years after the Commencement Date);
 - (f) clause 32.5 (Obligations on termination);
 - (g) Schedule 3 (Product Pricing and Design Principles); and
 - (h) Schedule 4 (Competitiveness Assessment Process).
- 5.3. If the Parties agree to a variation of the Restricted DA Terms in accordance with the Distribution Agreement, IAG may amend the Restricted DA Terms if, prior to making any amendment:
- (a) it gives notice in writing to the ACCC of the proposed changes to the Restricted DA Terms;
 - (b) it provides a copy of the amendments proposed to the Restricted DA Terms to the Approved Independent Auditor;
 - (c) the Approved Independent Auditor prepares and issues a report to the ACCC with a recommendation on whether the proposed amendment should be made; and

- (d) the ACCC agrees that the proposed amendment may be made.

6. Smash repair and repair service commitments

Purpose

- 6.1. The purpose of this section 6 is to regulate IAG's arrangements with Smash Repair Service Providers and Repair Service Facilities in Western Australia. This section does so by:
- (a) prohibiting exclusivity and certain other restrictions affecting Smash Repair Service Providers in Western Australia;
 - (b) restricting the ownership or control of Repair Service Facilities in Western Australia by IAG; and
 - (c) establishing complaints handling, monitoring and reporting mechanisms.

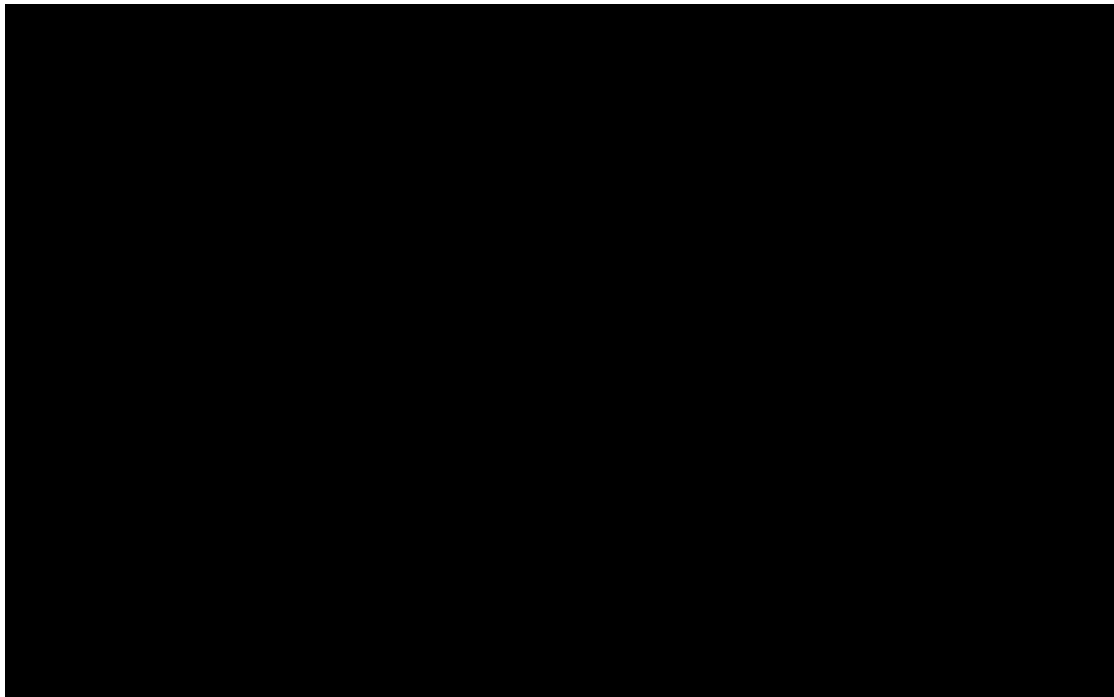
Commitments in relation to the acquisition of Smash Repair Services in Western Australia

- 6.2. For the Term of the Undertaking, IAG will ensure that it does not:
- (a) offer, require or request Smash Repair Service Providers in Western Australia comply with terms (whether in writing or not); or
 - (b) seek to rely on or enforce terms included in existing contracts between IAG or RACI and Smash Repair Service Providers in Western Australia,
- which:
- (c) require the Smash Repair Service Provider to work exclusively with IAG;
 - (d) require the Smash Repair Service Provider to not accept work from other personal lines general insurers or penalise or disadvantage the Smash Repair Service Provider for providing services to other insurers;
 - (e) unreasonably restrict or limit the Smash Repair Service Provider's ability to provide services to other insurers, including where doing so would have an adverse impact on providing services to IAG; or
 - (f) are materially less favourable to the Smash Repair Service Provider than terms under which services are currently provided by the Smash Repair Service Provider to IAG or RACI in relation to prioritisation of work from IAG over work from other personal lines general insurers.
- 6.3. For the Term of the Undertaking, IAG will maintain a confidential register of all Smash Repair Service Providers in Western Australia with which IAG engages in relation to acquiring Smash Repair Services including (the **Repair Services Register**):
- (a) the name of the Smash Repair Services Provider;
 - (b) the main contact of the Smash Repair Services Provider including their email and phone number;
 - (c) the terms offered by IAG to the Smash Repair Services Provider; and

- (d) the terms agreed with the Smash Repair Services Provider.
- 6.4. IAG must provide a copy of the Repair Services Register to the Approved Independent Auditor or the ACCC within five Business Days of receiving a written request from either the Approved Independent Auditor or ACCC to do so.
- 6.5. IAG will follow the Repair Service Complaints Handling Process set out in clauses 6.13 - 6.16 (inclusive) of this Undertaking in relation to any Repair Service Complaints.
- 6.6. IAG must give written notice of the existence of this Undertaking and of the Repair Service Complaints Handling Process to all Smash Repair Service Providers in Western Australia with which it engages:
 - (a) in the case of Smash Repair Service Providers with which IAG is engaged as at the Control Date, within 20 Business Days of the Control Date; and
 - (b) in the case of any Smash Repair Service Provider with which IAG first engages during the Term, within 10 Business Days of first engaging with that provider.

Repair Service Facilities Commitment

- 6.7. For the Term of the Undertaking, IAG must not own or control Repair Service Facilities in Western Australia, except in accordance with clause 6.8 and 6.9.



- 6.10. The ACCC will provide a response to the Ownership Notice within 10 Business Days of receipt. The ACCC's response will set out whether the ACCC accepts or rejects the Ownership Notice and the reasons for the ACCC's decision.
- 6.11. IAG may, within 10 Business Days of receiving the ACCC's response under clause 6.10 above, request a further review of the Ownership Notice by the ACCC (**Request for Review of Ownership Notice**). The Request for Review will contain the following details:

- (a) the reason or reasons IAG disagrees with the ACCC's response under clause 6.10; and
 - (b) any further information which may be relevant to the ACCC's assessment.
- 6.12. The ACCC will provide a response to the Request for Review of Ownership Notice within 10 Business Days of receipt. The ACCC's response will set out whether the ACCC accepts or rejects the Ownership Notice and Request for Review of Ownership Notice and the reasons for the ACCC's response.

Repair Service Complaints Handling Process

- 6.13. At the Commencement Date, IAG must have in place a Repair Service Complaints Handling Process in substantially the form set out at Schedule 3, and IAG must maintain a Repair Service Complaints Handling Process throughout the Term.
- 6.14. The Repair Service Complaints Handling Process must:
 - (a) enable Smash Repair Service Providers in Western Australia to make a complaint if IAG has acted in a way which is not compliant with clause 6.2 of this Undertaking; and
 - (b) provide any Smash Repair Service Provider in Western Australia which seeks to make a Repair Service Complaint with details of the Approved Independent Auditor, including name, email and office address, and a contact phone number.
- 6.15. IAG may from time to time amend IAG's Repair Service Complaints Handling Process provided it continues to comply with clause 6.14 of this Undertaking.
- 6.16. IAG must provide a copy of all Repair Service Complaints to the Approved Independent Auditor within five Business Days of receiving the complaint for the purpose of auditing and reporting on IAG's compliance with this Undertaking.

Code of Conduct

- 6.17. For the Term of the Undertaking, IAG will comply with the Motor Vehicle Insurance and Repair Industry Code of Conduct, as amended from time to time, when engaging with Smash Repair Service Providers in Western Australia.

7. Review of undertaking

Review process

- 7.1. If:
 - (a) IAG is unable to comply with its obligations under this Undertaking; or
 - (b) IAG or the ACCC believes that it is necessary to seek some variation due to changed circumstances,

then IAG and the ACCC agree that they will review the Undertaking and negotiate in good faith the variation or withdrawal of all or any of the terms of the Undertaking in light of such circumstances having regard to the need to prevent any substantial lessening of competition in any relevant market.

- 7.2. Nothing in clause 7.1 obliges either IAG or the ACCC to agree to any variation of, or withdrawal of, any term of this Undertaking.

8. Compliance

Purpose

- 8.1. The purpose of this section 8 is to establish mechanisms that ensure IAG complies with the terms of this Undertaking.

Compliance officer

- 8.2. IAG must appoint and maintain a compliance officer to assist them to ensure they comply with this Undertaking (**Compliance Officer**).
- 8.3. IAG must inform the ACCC of the identity of the proposed Compliance Officer at least one month prior to the Control Date. IAG must consider any comments of the ACCC regarding the identity of the proposed Compliance Officer in good faith.
- 8.4. The Compliance Officer:
- (a) must be appointed on or before the Control Date; and
 - (b) must provide a personal undertaking to IAG in the form of Schedule 4:
 - (i) by the Control Date; and
 - (ii) annually thereafter by each anniversary of the Control Date.
- 8.5. If the Compliance Officer resigns or IAG otherwise propose to replace the Compliance Officer, IAG must:
- (a) inform the ACCC and the Approved Independent Auditor about the resignation or decision within five Business Days of the resignation or decision;
 - (b) inform the ACCC and the Approved Independent Auditor of the identity of the proposed new Compliance Officer within five Business Days of the proposed new Compliance Officer being identified and consider any comments of the ACCC regarding the identity of the proposed new Compliance Officer in good faith; and
 - (c) procure that the new Compliance Officer provides a personal undertaking as contemplated in clause 8.4.
- 8.6. IAG must procure that the Compliance Officer:
- (a) notifies the ACCC and the Approved Independent Auditor of any breaches of this Undertaking of which it becomes aware within 10 Business Days of becoming so aware; and
 - (b) on request by the ACCC or the Approved Independent Auditor provides a written report regarding IAG's compliance with this Undertaking.
- 8.7. The ACCC may direct IAG to terminate the appointment of the Compliance Officer and appoint a replacement if in the ACCC's view the Compliance Officer acts inconsistently with the provisions of the Undertaking.

9. Independent Audit

Purpose

- 9.1. The purpose of this section 9 is to establish an audit regime to provide assurance that IAG is complying with this Undertaking.

Obligation to appoint an Approved Independent Auditor

- 9.2. IAG must appoint and maintain an Approved Independent Auditor to audit and report upon IAG's compliance with this Undertaking.

Process for approving a Proposed Independent Auditor

- 9.3. At least 15 Business Days before the Control Date, IAG must provide the ACCC with a notice for a Proposed Independent Auditor in the form prescribed in Schedule 2 to this Undertaking (**Proposed Independent Auditor Notice**), including draft terms of appointment and a draft audit plan.
- 9.4. The Approved Independent Auditor is to be appointed for a term of two years. Within 15 Business Days of the end of the Approved Independent Auditor's term, IAG must provide the ACCC with a new Proposed Independent Auditor Notice. A person who is, or who has been, the Approved Independent Auditor is eligible for reappointment as the Approved Independent Auditor.
- 9.5. If clauses 9.18, 9.19, and 9.20 apply, IAG must provide the ACCC with a Proposed Independent Auditor Notice within five Business Days after the relevant event occurs, otherwise clause 9.10 applies.
- 9.6. The ACCC shall have the discretion to approve or reject in writing the Proposed Independent Auditor identified in the Proposed Independent Auditor Notice.
- 9.7. Without limiting the ACCC's discretion, in deciding whether to approve a Proposed Independent Auditor, the factors to which the ACCC may have regard include whether the:
- (c) person named in the Proposed Independent Auditor Notice or identified by the ACCC has the qualifications and experience necessary to carry out the functions of the Approved Independent Auditor;
 - (d) person named in the Proposed Independent Auditor Notice or identified by the ACCC is sufficiently independent of IAG;
 - (e) draft terms of appointment and the draft audit plan are consistent with this Undertaking; and
 - (f) draft terms of appointment and the draft audit plan are otherwise acceptable to the ACCC.

Appointment of the initial Approved Independent Auditor

- 9.8. After receiving a written notice from the ACCC of its approval of a Proposed Independent Auditor, the draft terms of appointment and draft audit plan, IAG must by the Control Date:
- (a) appoint the person approved by the ACCC as the Approved Independent Auditor on the Approved Terms of Appointment; and

- (b) forward to the ACCC a copy of the executed Approved Terms of Appointment.

Failure to appoint

9.9. If:

- (a) the Approved Independent Auditor has not been appointed by the Control Date;
- (b) the Approved Independent Auditor has not been appointed within 15 Business Days after the Approved Independent Auditor resigns or otherwise ceases to act as the Approved Independent Auditor pursuant to clauses 9.18, 9.19, and 9.20; or
- (c) the ACCC has not received a Proposed Independent Auditor Notice pursuant to clause 9.3;

then clause 9.10 applies.

9.10. If this clause 9.10 applies, the ACCC at its absolute discretion may:

- (a) identify and approve a person as the Approved Independent Auditor, including approving the draft terms of appointment and draft audit plan; and/or
- (b) direct IAG to appoint a person who the ACCC has deemed is an Approved Independent Auditor.

Obligations and powers of the Approved Independent Auditor

9.11. IAG must procure that any proposed terms of appointment for the Approved Independent Auditor include obligations on the Approved Independent Auditor to:

- (a) maintain his or her independence from IAG, apart from appointment to the role of Approved Independent Auditor, including not forming any relationship of the types described in clause 2.2 of Schedule 2 to this Undertaking with IAG for the period of his or her appointment;
- (b) conduct compliance auditing according to the Approved Audit Plan;
- (c) provide the following reports directly to the ACCC:
 - (i) a scheduled written Audit Report as described in clause 9.13; and
 - (ii) an immediate report of any issues that arise in relation to the performance of his or her functions as Approved Independent Auditor or in relation to compliance with this Undertaking by any person named in this Undertaking; and
- (d) follow any direction given to him or her by the ACCC in relation to the performance of his or her functions as Approved Independent Auditor under this Undertaking.

- 9.12. IAG must procure that any proposed terms of appointment for the Approved Independent Auditor provide the Approved Independent Auditor with the authority to:
- (a) access the facilities, sites or operations of IAG in Western Australia as required by the Approved Independent Auditor;
 - (b) access any information or documents that the Approved Independent Auditor considers necessary for carrying out his or her functions as the Approved Independent Auditor or for reporting to or otherwise advising the ACCC; and
 - (c) engage any external expertise, assistance or advice required by the Approved Independent Auditor to perform his or her functions as the Approved Independent Auditor.

Compliance Audit

- 9.13. The Approved Independent Auditor must conduct an audit and prepare a detailed report (**Audit Report**) that includes:
- (a) the Approved Independent Auditor's procedures in conducting the audit, or any change to audit procedures and processes since the previous Audit Report;
 - (b) a full audit of IAG's compliance with this Undertaking;
 - (c) identification of any areas of uncertainty or ambiguity in the Approved Independent Auditor's interpretation of any obligations contained in this Undertaking;
 - (d) all of the reasons for the conclusions reached in the Audit Report;
 - (e) any qualifications made by the Approved Independent Auditor in forming his or her views;
 - (f) any recommendations by the Approved Independent Auditor to improve:
 - (i) the Approved Audit Plan;
 - (ii) the integrity of the auditing process;
 - (iii) IAG's processes or reporting systems in relation to compliance with this Undertaking; and
 - (iv) IAG's compliance with this Undertaking; and
 - (g) the implementation and outcome of any prior recommendations by the Approved Independent Auditor.
- 9.14. The Approved Independent Auditor is to provide an Audit Report to the ACCC and IAG at the following times:
- (a) within 6 months after the Control Date, at which time the Audit Report is to include the results of the initial audit and any recommended changes to the Approved Audit Plan, including the Approved Independent Auditor's proposed procedures and processes for conducting the audit (**Establishment Audit**);

- (b) every 12 months from the date of the Establishment Audit until the expiry, withdrawal or revocation of this Undertaking pursuant to section 4; and
 - (c) a final report due three months after the expiry, withdrawal or revocation of this Undertaking pursuant to section 4.
- 9.15. IAG must implement any recommendations made by the Approved Independent Auditor in Audit Reports and notify the ACCC of the implementation of the recommendations within 10 Business Days after receiving the Audit Report or such other period as agreed in writing with the ACCC.
- 9.16. IAG must comply with any direction of the ACCC in relation to matters arising from the Audit Report within 10 Business Days after being so directed or such other period as agreed in writing with the ACCC.

IAG's obligations in relation to the Approved Independent Auditor

- 9.17. Without limiting its obligations in this Undertaking, IAG must:
- (a) comply with and enforce the Approved Terms of Appointment for the Approved Independent Auditor;
 - (b) maintain and fund the Approved Independent Auditor to carry out his or her functions including:
 - (i) indemnifying the Approved Independent Auditor for any expenses, loss, claim or damage arising directly or indirectly from the performance by the Approved Independent Auditor of his or her functions as the Approved Independent Auditor except where such expenses, loss, claim or damage arises out of the gross negligence, fraud, misconduct or breach of duty by the Approved Independent Auditor; and
 - (ii) providing and paying for any external expertise, assistance or advice required by the Approved Independent Auditor to perform his or her functions as the Approved Independent Auditor; and
 - (c) not interfere with, or otherwise hinder, the Approved Independent Auditor's ability to carry out his or her functions as the Approved Independent Auditor, including:
 - (i) directing IAG personnel, including directors, contractors, managers, officers, employees and agents, to act in accordance with this section 9;
 - (ii) providing access to the facilities, sites or operations of IAG in Western Australia as required by the Approved Independent Auditor;
 - (iii) providing to the Approved Independent Auditor any information or documents that they consider necessary for carrying out their functions as the Approved Independent Auditor or for reporting to or otherwise advising the ACCC;
 - (iv) not requesting any information relating to the compliance audit from the Approved Independent Auditor without such a request having been approved by the ACCC; and

- (v) not appointing the Approved Independent Auditor, or have any Agreements with the Approved Independent Auditor, to utilise the Approved Independent Auditor's services for anything other than compliance with this Undertaking until at least 12 months after the Approved Independent Auditor ceases to act in the role of the Approved Independent Auditor.

Resignation, revocation or termination of the Approved Independent Auditor

- 9.18. IAG must immediately notify the ACCC in the event that the Approved Independent Auditor resigns or otherwise stops acting as the Approved Independent Auditor.
- 9.19. The ACCC may revoke an Approved Independent Auditor's status as the Approved Independent Auditor if the ACCC becomes aware that any information provided to the ACCC was incorrect, inaccurate or misleading.
- 9.20. The ACCC may approve any proposal by, or alternatively may direct, IAG to terminate the appointment of the Approved Independent Auditor if in the ACCC's view the Approved Independent Auditor acts inconsistently with the provisions of this Undertaking and/or the Approved Terms of Appointment or the Approved Independent Auditor fails to perform their role to an adequate standard.

10. Notification of key dates and ACCC requests for information

- 10.1. IAG must notify the ACCC and the Approved Independent Auditor in writing of:
 - (a) the anticipated date of the Control Date, at least five Business Days before that date; and
 - (b) the occurrence of the Control Date, within one Business Day of that date.
- 10.2. The ACCC may direct IAG in respect of its compliance with this Undertaking to, and IAG must:
 - (a) furnish information to the ACCC in the time and in the form requested by the ACCC;
 - (b) produce documents and materials to the ACCC within IAG's custody, power or control in the time and in the form requested by the ACCC; and/or
 - (c) attend the ACCC at a time and place appointed by the ACCC to answer any questions the ACCC (its Commissioners, its staff or its agents) may have.
- 10.3. Any direction made by the ACCC under clause 10.2 will be notified to IAG, in accordance with clause 17.2.
- 10.4. In respect of IAG's compliance with this Undertaking or an Approved Independent Auditor's compliance with its Approved Terms of Appointment, the ACCC may request any Approved Independent Auditor to:
 - (a) furnish information to the ACCC in the time and in the form requested by the ACCC;
 - (b) produce documents and materials to the ACCC within the Approved Independent Auditor's custody, power or control in the time and in the form requested by the ACCC; and/or

- (c) attend the ACCC at a time and place appointed by the ACCC to answer any questions the ACCC (its Commissioners, its staff or its agents) may have.
- 10.5. IAG will use its best endeavours to ensure that an Approved Independent Auditor complies with any request from the ACCC in accordance with clause 10.4.
- 10.6. Information furnished, documents and material produced or information given in response to any request or direction from the ACCC under this section 10 may be used by the ACCC for any purpose consistent with the exercise of its statutory duties.
- 10.7. The ACCC may in its discretion:
 - (a) advise any Approved Independent Auditor of any request made by it under this section 10; and/or
 - (b) provide copies to any Approved Independent Auditor of any information furnished, documents and material produced or information given to it under this section 10.
- 10.8. Nothing in this section 10 requires the provision of information or documents in respect of which IAG has a claim of legal professional or other privilege.

11. Disclosure of this Undertaking

- 11.1. IAG and the ACCC agree that clause 6.8 and 6.9 of this Undertaking will remain confidential subject to clauses 11.2 and 11.3.
- 11.2. IAG acknowledges that the ACCC may, subject to clause 11.1:
 - (a) make this Undertaking publicly available;
 - (b) publish this Undertaking on its Public Section 87B Undertakings Register and Public Mergers Register; and
 - (c) from time to time publicly refer to this Undertaking.
- 11.3. Nothing in section 11 or the confidential parts of this Undertaking referred to in clause 11.1 prevents the ACCC from disclosing such information as is:
 - (d) required by law;
 - (e) permitted by section 155AAA of the Act;
 - (f) necessary for the purpose of enforcement action under section 87B of the Act; or
 - (g) necessary for the purpose of making such market inquiries as the ACCC thinks fit to assess the impact on competition arising in connection with this Undertaking.

- 11.4. Nothing in section 11 or the confidential parts of this Undertaking referred to in clause 11.1 prevents the ACCC from using the information contained in this Undertaking for any purpose consistent with its statutory functions and powers.

12. Obligation to procure

- 12.1. Where the performance of an obligation under this Undertaking requires a Related Body Corporate of IAG to take or refrain from taking some action, IAG will procure that Related Body Corporate to take or refrain from taking that action.

13. No Derogation

- 13.1. This Undertaking does not prevent the ACCC from taking enforcement action at any time whether during or after the Term in respect of any breach by IAG of any term of this Undertaking.
- 13.2. Nothing in this Undertaking is intended to restrict the right of the ACCC to take action under the CCA for penalties or other remedies in the event that IAG does not fully implement and/or perform its obligations under this Undertaking or in any other event where the ACCC decides to take action under the CCA for penalties or other remedies.

14. Change of Control

- 14.1. In the event that a Change of Control is reasonably expected to occur, IAG must:
- (a) notify the ACCC of this expectation as soon as practicable; and
 - (b) only implement a Change of Control to another person or entity if that person or entity has given a section 87B undertaking to the ACCC that requires it to comply with the same obligations as are imposed on IAG pursuant to this Undertaking, or on terms that are otherwise acceptable to the ACCC, unless the ACCC has notified IAG in writing that a section 87B undertaking under this clause is not required.

15. Costs

- 15.1. IAG must pay all its own costs incurred in relation to this Undertaking.

16. Jurisdiction

- 16.1. IAG irrevocably submits to the jurisdiction of the Federal Court of Australia in relation to this Undertaking.

17. Notices

Giving Notices

- 17.1. Any notice or communication to the ACCC pursuant to this Undertaking must be sent to: [ACCC to confirm notice details]

Email address: mergers@accc.gov.au
Attention: Executive General Manager
Merger and Authorisation Review Division

With a copy sent to:

Email address: mergersru@accc.gov.au
Attention: Director, Remedies Unit
Coordination and Strategy Branch
Merger and Authorisation Review Division

17.2. Any notice or communication to IAG pursuant to this Undertaking must be sent to:

Name: Insurance Australia Group Limited
Address: Darling Park, Tower Two, 201 Sussex St, Sydney NSW 2000
Email address: [General Counsel of IAG]
Phone number: [General Counsel of IAG]
Attention: [General Counsel of IAG]

With a copy sent to:

Name: Allens
Address: Level 25, 33 Alfred Street, Sydney NSW 2000
Email address: [External counsel]
Phone number: [External counsel]
Attention: [External counsel]

17.3. If sent by post, notices are taken to be received three Business Days after posting (or seven Business Days after posting if sent to or from a place outside Australia).

17.4. If sent by email, notices are taken to be received at the time shown in the email as the time the email was sent.

Change of contact details

17.5. IAG must notify the ACCC of a change to its contact details within three Business Days.

17.6. Any notice or communication will be sent to the most recently advised contact details and subject to clauses 17.3 and 17.4, will be taken to be received.

18. Defined terms and interpretation

Definitions in the Dictionary

18.1. A term or expression starting with a capital letter:

- (a) which is defined in the Dictionary in Part 1 of Schedule 1 (Dictionary and interpretation), has the meaning given to it in the Dictionary; or
- (b) which is defined in the Corporations Act, but is not defined in the Dictionary, has the meaning given to it in the Corporations Act.

Interpretation

18.2. Part 2 of Schedule 1 sets out rules of interpretation for this Undertaking.

Executed as an Undertaking

Executed by **Insurance Australia Group Limited** (ACN 090 739 923) pursuant to section 127(1) of the *Corporations Act 2001* (Cth) by:

Signature of director		Signature of a director/company secretary
Name of director (print)		Name of director/company secretary (print)
Date		Date

Accepted by the Australian Competition and Consumer Commission pursuant
to section 87B of the *Competition and Consumer Act 2010* (Cth) on:

Date

and signed on behalf of the Commission:

Chair

Date

Schedule 1 – Dictionary and interpretation

1. Dictionary

ACCC means the Australian Competition and Consumer Commission.

Agreements means any contract, arrangement or understanding, including any contract, arrangement or understanding to renew, amend, vary or extend any contract, arrangement or understanding.

Approved Audit Plan means the plan approved by the ACCC in accordance with the terms of this Undertaking, by which the Approved Independent Auditor will audit and report upon compliance with this Undertaking.

Approved Independent Auditor means the person approved by the ACCC and appointed under section 9 of this Undertaking.

Approved Terms of Appointment means the terms of appointment of the Approved Independent Auditor approved by the ACCC in accordance with this Undertaking.

Associated Entity has the meaning given by section 50AAA of the Corporations Act.

Audit Report has the meaning given to it in clause 9.13 of this Undertaking.

Business Day means a day other than a Saturday or Sunday on which banks are open for business generally in New South Wales, Australia.

CCA means the *Competition and Consumer Act 2010* (Cth).

Change of Control means:

- (a) the assignment or other transfer of the legal or beneficial ownership of some or all of the share capital of IAG to any other person or entity that may impact compliance with this Undertaking in its entirety; or
- (b) the sale or transfer of any assets necessary, or which may be necessary, to enable IAG to continue to comply with this Undertaking in its entirety.

Commencement Date has the meaning given to it in clause 3.1 of this Undertaking.

Compliance Officer means the person appointed as Compliance Officer pursuant to section 8 of this Undertaking.

Control Date means the date on which the Proposed Transaction is completed.

Control has the meaning given in section 50AA of the Corporations Act.

Corporations Act means the *Corporations Act 2001* (Cth).

Distribution Agreement means the agreement referred to in clause 2.4 of this Undertaking pursuant to which, on completion of the Proposed Transaction, RACWAH and RACI will enter into a strategic distribution alliance pursuant to a distribution agreement under which RACWAH will continue as distributor of the general insurance products issued by RACI to RAC members in Western Australia under the RAC brand.

Establishment Audit has the meaning given in clause 9.14 of this Undertaking.

IAG means Insurance Australia Group Limited (ACN 090 739 923).

NOCC means the Notice of Competition Concerns issued to IAG by the ACCC on 25 May 2026 in relation to the Proposed Transaction.

Notification has the meaning given in clause 2.7 of this Undertaking.

Ownership Notice has the meaning given to it in clause 6.9 of this Undertaking.

Proposed Independent Auditor means a person named in a Proposed Independent Auditor Notice.

Proposed Independent Auditor Notice has the meaning given to it in clause 9.3 of this Undertaking.

Proposed Transaction has the meaning given to it in clause 2.4 of this Undertaking.

Public Mergers Register means the ACCC's public register of merger clearances, available at www.accc.gov.au.

Public Section 87B Undertakings Register means the ACCC's public register of section 87B undertakings, available at www.accc.gov.au.

RAC means the Royal Automobile Club of WA Limited (ABN 33 212 133 120).

RACI means RAC Insurance Pty Limited (ABN 59 094 685 882), a wholly owned subsidiary of RAC.

RACI Pty Limited means RACI Pty Limited (ABN 40 008 671 805), a wholly owned subsidiary of RAC.

RACWAH means RACWA Holdings Pty Ltd (ABN 60 008 985 877), a wholly owned subsidiary of RAC.

Related Bodies Corporate has the meaning given to it by section 50 of the Corporations Act.

Related Entities has the meaning given to it in section 9 of the Corporations Act.

Related Parties has the meaning given to it in section 228 of the Corporations Act.

Repair Service Complaints Handling Process means the complaints handling process in substantially the form set out in Schedule 3 to this Undertaking, as amended from time to time during the Term in accordance with clause 6.15 of this Undertaking.

Repair Service Complaints means any complaint made by a Smash Repair Service Provider in Western Australia in accordance with the Repair Service Complaints Handling Process, in relation to alleged non-compliance by IAG with clause 6.2 of this Undertaking.

Repair Service Facilities means any workshop, premises or site (together with associated equipment and operations) at or from which a Smash Repair Service Provider supplies Smash Repair Services, whether owned, leased, or otherwise operated by that provider.

Repair Services Register has the meaning give in clause 6.3 of this Undertaking.

Request for Review of Ownership Notice has the meaning given in clause 6.11 of this Undertaking.

Restricted DA Terms has the meaning given in clause 5.2 of this Undertaking.

Share Sale Deed means the deed entered into between IAG, RAC and RACWAH on 15 May 2025 pursuant to which IAG will acquire 100% of the issued share capital in RACI from RACI Pty Ltd.

Smash Repair Service Providers means persons (including bodies corporate, partnerships and sole traders) who supply Smash Repair Services and who are, or propose to be, engaged by IAG (whether pursuant to a formal contract, preferred repairer arrangement or otherwise) in connection with the assessment or repair of motor vehicles the subject of claims made under personal lines motor vehicle insurance policies.

Smash Repair Services means motor vehicle repair services involving the repair or replacement of the body or chassis of a vehicle following collision, hail or other damage event, including the repair and replacement of damaged panels, dents and scratches, and repainting works in each case supplied in connection with claims made under motor vehicle insurance policies.

Subsidiary has the meaning given to it in section 9 of the Corporations Act but an entity (as defined under the Corporations Act) will also be taken to be a Subsidiary of an entity if it is Controlled by that entity and, without limitation:

- (a) a trust may be a Subsidiary, for the purposes of which a unit or other beneficial interest will be regarded as a share;
- (b) an entity may be a Subsidiary of a trust if it would have been a Subsidiary if that trust were a corporation; and
- (c) where a trust is a Subsidiary, the trustee of that trust (acting in that capacity) will also be a Subsidiary.

Term has the meaning given in clause 3.2 of this Undertaking.

Undertaking is a reference to all provisions of this document, including its schedules and as varied from time to time under section 87B of the CCA.

2. Interpretation

In the interpretation of this Undertaking, the following provisions apply unless the context otherwise requires:

- (a) a reference to this Undertaking includes all of the provisions of this document including its schedules;
- (b) headings are inserted for convenience only and do not affect the interpretation of this Undertaking;
- (c) if the day on which any act, matter or thing is to be done under this Undertaking is not a Business Day, the act, matter or thing must be done on the next Business Day;
- (d) a reference in this Undertaking to any law, legislation or legislative provision includes any statutory modification, amendment or re-enactment, and any subordinate legislation or regulations issued under that legislation or legislative provision;

- (e) a reference in this Undertaking to any company includes its Related Bodies Corporate;
- (f) a reference in this Undertaking to any agreement or document is to that agreement or document as amended, novated, supplemented or replaced;
- (g) a reference to a clause, part, schedule or attachment is a reference to a clause, part, schedule or attachment of or to this Undertaking;
- (h) an expression importing a natural person includes any company, trust, partnership, joint venture, association, body corporate or governmental agency;
- (i) where a word or phrase is given a defined meaning, another part of speech or other grammatical form in respect of that word or phrase has a corresponding meaning;
- (j) a word which denotes the singular also denotes the plural, a word which denotes the plural also denotes the singular, and a reference to any gender also denotes the other genders;
- (k) a reference to the words 'such as', 'including', 'particularly' and similar expressions is to be construed without limitation;
- (l) a construction that would promote the purpose - or object - underlying the Undertaking (whether expressly stated or not) will be preferred to a construction that would not promote that purpose or object;
- (m) material not forming part of this Undertaking may be considered to:
 - (i) confirm the meaning of a clause is the ordinary meaning conveyed by the text of the clause, taking into account its context in the Undertaking and the competition concerns intended to be addressed by the Undertaking and the clause in question; or
 - (ii) determine the meaning of the clause when the ordinary meaning conveyed by the text of the clause, taking into account its context in the Undertaking and the purpose or object underlying the Undertaking, leads to a result that does not promote the purpose or object underlying the Undertaking;
- (n) in determining whether consideration should be given to any material in accordance with paragraph (m), or in considering any weight to be given to any such material, regard must be had, in addition to any other relevant matters, to the:
 - (i) effect that reliance on the ordinary meaning conveyed by the text of the clause would, have (taking into account its context in the Undertaking and whether that meaning promotes the purpose or object of the Undertaking); and
 - (ii) need to ensure that the result of the Undertaking is to completely address any ACCC competition concerns;
- (o) the ACCC may authorise the ACCC Mergers Review Committee, a member of the ACCC or a member of the ACCC staff, to exercise a decision making function under this Undertaking on its behalf and that authorisation may be subject to any conditions which the ACCC may impose;

- (p) in performing its obligations under this Undertaking, IAG will do everything reasonably within its power to ensure that its performance of those obligations is done in a manner which is consistent with promoting the purpose and object of this Undertaking;
- (q) a reference to:
 - (i) a thing (including, but not limited to, a chose in action or other right) includes a part of that thing;
 - (ii) a party includes its successors and permitted assigns; and
 - (iii) a monetary amount is in Australian dollars.

Schedule 2 – Approved Independent Auditor Form

This form sets out the information required by the ACCC in relation to the proposed appointment of the Approved Independent Auditor.

Please note in relation to information given pursuant to this form, giving false or misleading information is a serious offence.

1. Method of Delivery to the ACCC

The completed form with requested documents attached may be provided to the ACCC using the following method:

Email

Subject line: Proposed Independent Auditor Notice – [name of undertaking to be inserted]
Address: mergers@accc.gov.au
Attention: Executive General Manager – Mergers, Exemptions & Digital Division

With an email copy sent to:

Address: mergersru@accc.gov.au
Attention: Director, Remedies Unit - Policy, Coordination & Strategy Branch,
Mergers, Exemptions & Digital Division

2. Information Required

The ACCC requires the following information in order to assess a Proposed Independent Auditor.

2.1 Proposed Independent Auditor details:

- (a) the name of the Proposed Independent Auditor; and
- (b) the name of the Proposed Independent Auditor's employer and contact details including:
 - (i) address;
 - (ii) contact name;
 - (iii) telephone number; and
 - (iv) other contact details.

2.2 A submission containing the following information:

- (a) details of the Proposed Independent Auditor's qualifications and experience relevant to his or her proposed role pursuant to the Undertaking;
- (b) the names of the owner(s) and the director(s) of the Proposed Independent Auditor's employer;

- (c) details of any of the following types of relationships between IAG and the Proposed Independent Auditor or the Proposed Independent Auditor's employer or confirmation that no such relationship exists whether within Australia or outside of Australia:
 - (i) any of IAG and the Proposed Independent Auditor's employer are Associated Entities;
 - (ii) IAG is an Entity Connected with the Proposed Independent Auditor's employer;
 - (iii) the Proposed Independent Auditor's employer is an Entity Connected with IAG;
 - (iv) IAG and the Proposed Independent Auditor's employer are Related Entities;
 - (v) IAG and the Proposed Independent Auditor's employer are Related Parties;
 - (vi) any Related Party, Related Entity or Entity Connected with any of IAG is a Related Party, Related Entity or Entity Connected with the Proposed Independent Auditor;
 - (vii) IAG and the Proposed Independent Auditor or the Proposed Independent Auditor's employer have a contractual relationship or had one within the past three years, other than those attached to this form;
 - (viii) the Proposed Independent Auditor's employer is a supplier of IAG or has been in the past three years;
 - (ix) IAG is a supplier of the Proposed Independent Auditor's employer or has been in the past three years; and
 - (x) any other relationship between IAG and the Proposed Independent Auditor or the Proposed Independent Auditor's employer that allows one to affect the business decisions of the other; and
- (d) details of any existing or past contractual relationships between the Proposed Independent Auditor or the Proposed Independent Auditor's employer and the ACCC within the past three years.

2.3 A document outlining the terms of appointment for the Proposed Independent Auditor. This should identify the basis on which fees will be paid, including disclosure of any proposed performance-based fees.

Schedule 3 : Repair Service Complaints Handling Process

1 Definitions

- 1.1 **Approved Independent Auditor** has the meaning given to it in Schedule 1 of the Undertaking.
- 1.2 **Complainant** means a Smash Repair Service Provider that makes a Repair Service Complaint.
- 1.3 **Complaint Report** has the meaning given to it in clause 3.2 of the Repair Service Complaints Handling Process.
- 1.4 **Complaints Manager** means an individual appointed by IAG from time to time to oversee and manage the Repair Service Complaints Handling Process.
- 1.5 **Compliance Report** has the meaning given to it in clause 3.4 of the Repair Service Complaints Handling Process.
- 1.6 **Repair Service Complaints** has the meaning given to it in Schedule 1 of the Undertaking.
- 1.7 **Repair Service Complaints Handling Process** has the meaning given to it in Schedule 1 of the Undertaking.

2 Complaints handling procedure

Overview

- 2.1 This is the Repair Service Complaints Handling Process referred to in clause 6.13 of the Undertaking, which enables Smash Repair Service Providers in Western Australia to make a complaint where the Smash Repair Service Provider considers that IAG has acted in a manner which is not compliant with clause 6.2 of the Undertaking.

Availability of the Repair Service Complaints Handling Process

- 2.2 This Repair Service Complaints Handling Process is to be made available to:
- (a) all relevant IAG staff for the purposes of ensuring compliance with this Repair Service Complaints Handling Process; and
 - (b) all Smash Repair Service Providers in Western Australia.

Making of complaints

- 2.3 A Repair Service Complaint must be made in writing.
- 2.4 Within five Business Days of IAG receiving a Repair Service Complaint, IAG must provide a copy of the Repair Service Complaint to the Approved Independent Auditor, for the purpose of auditing and reporting on IAG's compliance with the Undertaking.

Investigating and resolving the complaint

- 2.5 IAG will take the following steps to investigate and seek to resolve each Repair Service Complaint:

- (a) **Communicate:** IAG will make contact with the Complainant within two Business Days of the Repair Service Complaint being received to acknowledge receipt of the Repair Service Complaint and provide the details of the Approved Independent Auditor referred to in section 9 of the Undertaking to the Complainant. IAG will keep the Complainant informed of the progress of the Repair Service Complaint at regular intervals.
- (b) **Gather information:** IAG will gather information from the Complainant including:
 - (i) listening to the Complainant's point of view;
 - (ii) considering the Complainant's concern so that IAG can ascertain the relevant obligation under clause 6.2 of the Undertaking to which the Repair Service Complaint relates;
 - (iii) what the Complainant would consider to be a satisfactory resolution to address the Repair Service Complaint.
- (c) **Outline view on complaint:** Once IAG has gathered information pursuant to (b) above and reasonably considers it has sufficient information to assess the Repair Service Complaint, IAG will outline its view on whether clause 6.2 of the Undertaking has been breached to the Complainant in writing.
- (d) **Implementation of resolution:** If IAG considers it has breached clause 6.2 of the Undertaking, IAG will set out a timetable for implementing a resolution. If the Complainant objects in writing to IAG's proposed resolution and the Repair Service Complaint has not been resolved within 15 Business Days of receipt of the objection, a senior representative of each party will be appointed to endeavour to resolve the dispute at a meeting within a further 10 Business Days (or such further period as the parties may agree in writing).
- (e) **Reporting to Approved Independent Auditor:** If IAG considers that it has not breached clause 6.2 of the Undertaking or the Repair Service Complaint is not resolved pursuant to (d) above, IAG must notify the Approved Independent Auditor of this in writing.

3 Complaints reporting and review

Complaint reports

- 3.1 IAG will manage Repair Service Complaints through the use of a complaints database. The following will be entered into the complaints database by a relevant member of IAG's complaints handling team:
 - (a) the details of the Repair Service Complaint, at the time IAG receives notice of it;
 - (b) the details of the action taken, at the time any action is taken in relation to the Repair Service Complaint; and

- (c) the details of any resolution, when the Repair Service Complaint is resolved.
- 3.2 The complaints database will be made up of individual complaint reports for each Repair Service Complaint (**Complaint Report**).
- 3.3 A Complaint Report will include the following information:
 - (a) the nature and date of the Repair Service Complaint;
 - (b) how the Repair Service Complaint was made;
 - (c) the details of the Complainant;
 - (d) the IAG conduct or business practice about which the Repair Service Complaint is made;
 - (e) the estimated response time conveyed to the Complainant, or if resolved, the actual response time; and
 - (f) any action taken including remedies, determinations, results and whether the Complainant accepted the resolution offered by IAG.

Compliance report

- 3.4 Repair Service Complaints are to be captured in quarterly compliance reports by the Complaints Manager to IAG's senior management (**Compliance Report**).
- 3.5 The Compliance Report should cover the numbers and types of Repair Service Complaints received and recommend remedial action to address them where appropriate.

Review

- 3.6 The Repair Service Complaints Handling Process will be reviewed at least annually by the Complaints Manager to assess:
 - (a) the extent to which the procedures were adhered to throughout the review period;
 - (b) the currency of the Repair Service Complaints Handling Process;
 - (c) the continued adequacy of resource allocation in relation to the Repair Services Complaints Handling Process; and
 - (d) that the Repair Service Complaints Handling Process remains consistent with the strategic direction of IAG.
- 3.7 The results of the annual review referred to at 3.6 above will be considered by the IAG's senior management and the effectiveness of the Repair Service Complaints Handling Process will be reviewed annually by IAG's senior management.

Schedule 4 : Compliance Officer Personal Undertaking

This Deed Poll is made on

BY

1. [name] of [address] (the **employee**)
2. in favour of [*] (**IAG**).

I _____ (full name) (the **employee**) agree that:

1. I have been provided with a copy of the section 87B undertaking given by IAG dated [insert] (**Undertaking**);
2. I will comply with the obligations set out in the Undertaking relevant to my role including (but not limited to):
 - a. the obligations in relation to my role as the Compliance Officer set out in section 8.
3. I understand that a breach of clause 2 of this Deed Poll will be regarded as a serious breach of my obligations as an employee and that the sanctions for breach may include dismissal.

Executed and delivered as a Deed Poll [in [*]].